

where the banks deem us worthy of something. But, with regards to a function as hugely important as credit building, do the research and get a better one under your terms and not under the terms of the caller.

Don't fall into cashback trap: Yes, we don't have the signing bonus of 25,000 miles that cards from US have and cashbacks are the most popular features of Indian credit cards. Hence, it's easy to accept a cashback card blindly. But if you're getting your first card, start with a cashback one and then expand your repertoire based on spending patterns. Keep in mind that purchase protection and superior customer service come in handy and are also to be weighed when choosing a card.

If you have no credit history previously: This is a tricky one because getting a good card is very difficult. Banks accept an application if you have a FD with them or have a checking account with a regular salary. No matter what any customer tries to reason, if I were the bank I'd feel like getting into wedlock over the first girl that kissed me. With no credit history, the banks run the risk of lending you without knowing your financial scene. Settling for any card sounds tolerable but there are ways you can negotiate yourself into better options (we'll discuss more, later).

Waiving the Fees/ Surcharges

Choosing a card is about getting the best benefits. As we've established that we'll be paying the monthly balance on time, the APR (annual percentage rate) is of no significance. The other issue is the Joining fee/ retainer fee of the card. I dislike having to pay the bank anything. When this is the case, you can negotiate with the bank during your credit card application.

You: I understand the APR is 40% and the welcome bonus is 500 points. Let's talk about the joining fee. I'd like to have this waived. (Never finish with a question: can you waive it? Will it be possible? This just makes it easier for them to say no)

Rep: I can't do that, sir. In fact, you're paying a lower fee than our other customers.

You: Sure you can and I'll tell you why!